

BOOKING HOLDINGS INC.

(NASDAQ: BKNG)

The Best Asset in Online Travel, Discounted on an AI Fear

BUY — \$219.00 Target

Equity Research Note · Consumer Discretionary — Online Travel · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$219.00	\$159.02	+37.7%	Medium

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$119.5 bn (751 mn sh × \$159.02)	FCF conversion	Among the highest in large-cap tech
52-week range	~\$150.14 – \$225.00	Capital return	Nearly all FCF via buybacks; share count shrinking
Platforms	Booking.com, Priceline, Agoda, Kayak, OpenTable	Loyalty	Genius program driving direct repeat traffic
Heartland	Europe: dominant accommodation marketplace	AI posture	Own AI trip-planning + connected-trip infrastructure
Model	Asset-light marketplace, minimal marginal cost/booking	Implied upside	+38% to \$219.00 fair value

1 Investment Thesis

Booking Holdings is the highest-quality asset in online travel: the dominant accommodation marketplace in Europe, the highest-margin business in its sector, and a capital-return machine. The market's periodic worry — that generative AI reshapes travel discovery and disintermediates aggregators — is a real long-term question but a poor near-to-medium-term investment thesis. Booking's moat is not a search ranking; it is two-sided network density: the deepest property inventory, the most reviews, and the most efficient performance-marketing engine in travel.

Our judgment is that the AI-disruption fear has created the opportunity. Travel booking is a high-trust, high-consideration transaction where inventory depth, cancellation flexibility, and customer support matter more than a chat interface. Booking's own AI investments (trip planning, concierge features, the connected-trip vision) position it to absorb the new interface rather than be replaced by it. We tested the bear narrative against the numbers: take rates have held, room-night growth has continued, and alternative-accommodation supply keeps expanding.

At \$159.02, the market pays a multiple appropriate for a travel company facing disruption and gets a compounder that has grown through every prior platform shift. Our probability-weighted fair value is \$219.00, a 38% expected return, driven by room-night growth, take-rate stability, operating leverage, and relentless buybacks. The bear case assumes genuine AI-driven disintermediation; we assign it the standard 25% weight, a meaningful concession and the reason the target is \$219 rather than higher.

Consider the assets no entrant can assemble quickly. Booking.com lists millions of properties, including a vast long tail of independent hotels and alternative accommodations. Hundreds of millions of verified guest reviews create a data asset that improves conversion and cannot be scraped into existence. And the performance-marketing operation spends billions annually with a return on ad spend honed over two decades. An AI startup can build a chat interface in months; it cannot build these assets in years.

Why the market will care (eventually)

- **The connected trip is the growth lever.** Flights, attractions, airport taxis, and travel insurance attached to accommodation bookings are growing faster than the core, and each attached product increases customer lifetime value while using the same acquisition spend. This is how a mature marketplace keeps growing: not by finding new travelers, but by capturing more of each traveler's wallet.
- **Alternative accommodations are the white space.** Booking has been closing the supply gap with the segment leader for years; each incremental property improves search completeness and conversion. We expect this segment to outgrow hotels within the mix, which is margin-accretive.
- **Buybacks are the quiet compounding engine.** With the share count shrinking several percent per year, per-share growth will continue to outpace enterprise growth indefinitely — at current free cash flow levels this is sustainable without stretching the balance sheet.

2 Business Overview — What Booking Holdings Is Doing

Booking Holdings operates the world's leading online travel platforms: Booking.com (accommodation, the core profit engine), Priceline, Agoda, Kayak, and OpenTable. Revenue is dominated by agency commissions on accommodation bookings, supplemented by advertising, merchant-model revenue, and ancillary services. Europe is the heartland; the company has been expanding in the US and Asia.

The economics are exceptional: an asset-light marketplace with minimal marginal cost per booking, a performance-marketing machine that arbitrages Google and Meta traffic at scale, and a loyalty ecosystem (Genius) that drives direct repeat traffic. Free cash flow conversion is among the highest in large-cap technology, and the company returns nearly all of it through share repurchases.

Geographic mix is a structural advantage. Europe, where Booking.com is dominant, has a fragmented hotel landscape of independent properties that depend on the platform for demand; this fragmentation is precisely what makes the marketplace indispensable. In the US, where chains are stronger, Priceline and Kayak play larger roles, and Agoda anchors the Asia-Pacific presence.

What the company is doing now

- **Two-sided network density.** The deepest property inventory, the most verified reviews, and the most efficient performance-marketing engine in travel — each side reinforces the other.
- **The Genius flywheel.** A large share of bookings now comes from repeat members; direct traffic, mobile app usage, and member pricing tiers reduce marginal acquisition cost over time.
- **Alternative-accommodation supply buildout.** Closing the gap with the category leader property by property, improving completeness and conversion with every addition.

3 Financial Analysis

\$ bn	2022	2023	2024	2025 (TTM)
Revenue	17.09	21.37	23.74	26.92
Free cash flow	6.19	7.00	7.89	9.09
FCF margin	36%	33%	33%	34%

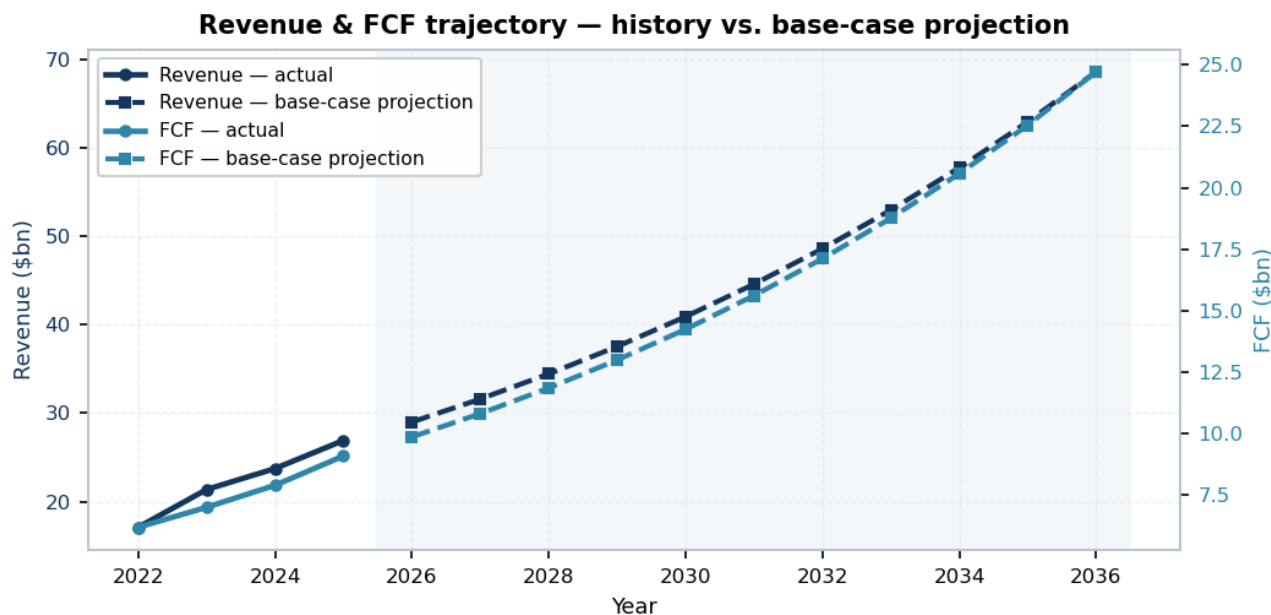
Sources: company filings via Yahoo Finance. 2025 = trailing twelve months.

Revenue has grown from \$17.09 billion in 2022 to \$26.92 billion trailing in 2025, with free cash flow compounding alongside from \$6.19 billion to \$9.09 billion — a ~34% FCF margin that is extraordinary for the sector. The P&L shows the marketplace signature: minimal marginal cost per booking converts incremental gross bookings into cash at very high rates.

The balance sheet is a fortress with net cash flexibility; the capital-return program has retired a meaningful share of the float over the years. The valuation is most exposed to the take rate and the terminal growth rate: a 50bp permanent

compression in take rates would reduce fair value by roughly a tenth; sustained buybacks above our assumed pace add a similar magnitude.

Revenue & cash-flow trajectory

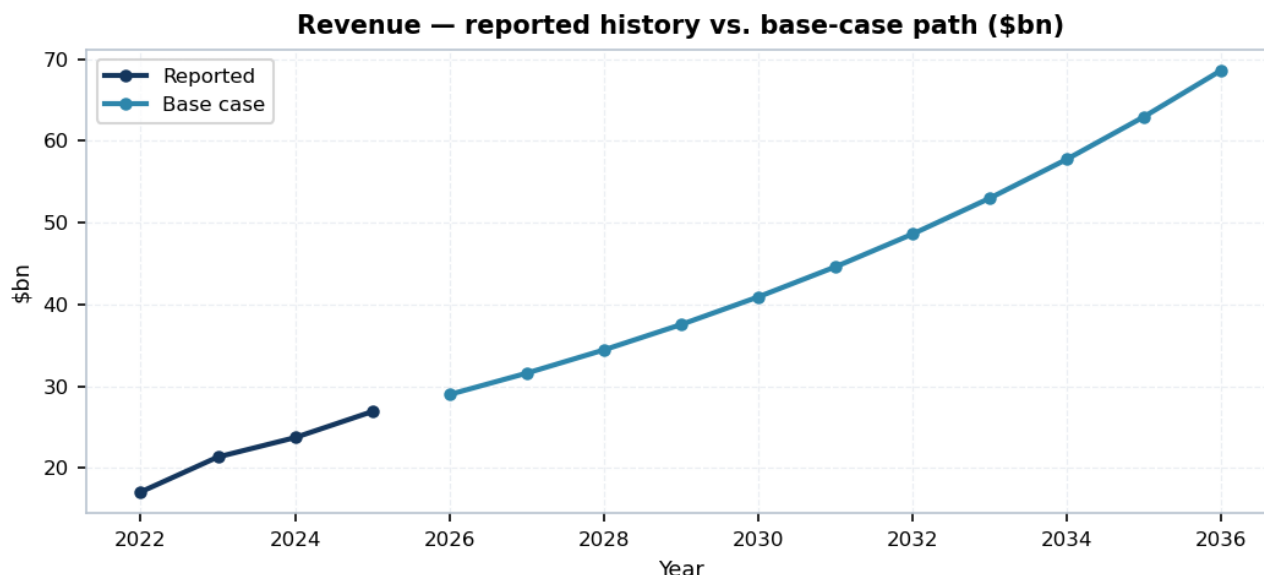


History: company filings via Yahoo Finance (2025 = TTM). Projection: illustrative base-case path at ~9% revenue CAGR with FCF margins ~34–36%.

4 Moat & Competition

- **Two-sided network density.** Millions of properties, hundreds of millions of verified reviews, and the industry's most efficient performance-marketing engine — no entrant can assemble these in years.
- **European fragmentation as a structural edge.** Independent hotels that depend on the platform for demand make Booking.com indispensable in its heartland.
- **The Genius loyalty flywheel.** Repeat-member bookings reduce marginal acquisition cost over time; better economics fund better member benefits.
- **Marketing scale.** Billions in annual performance spend with two decades of return-on-ad-spend optimization is itself a barrier.

Revenue — reported history vs. base-case path (\$bn)



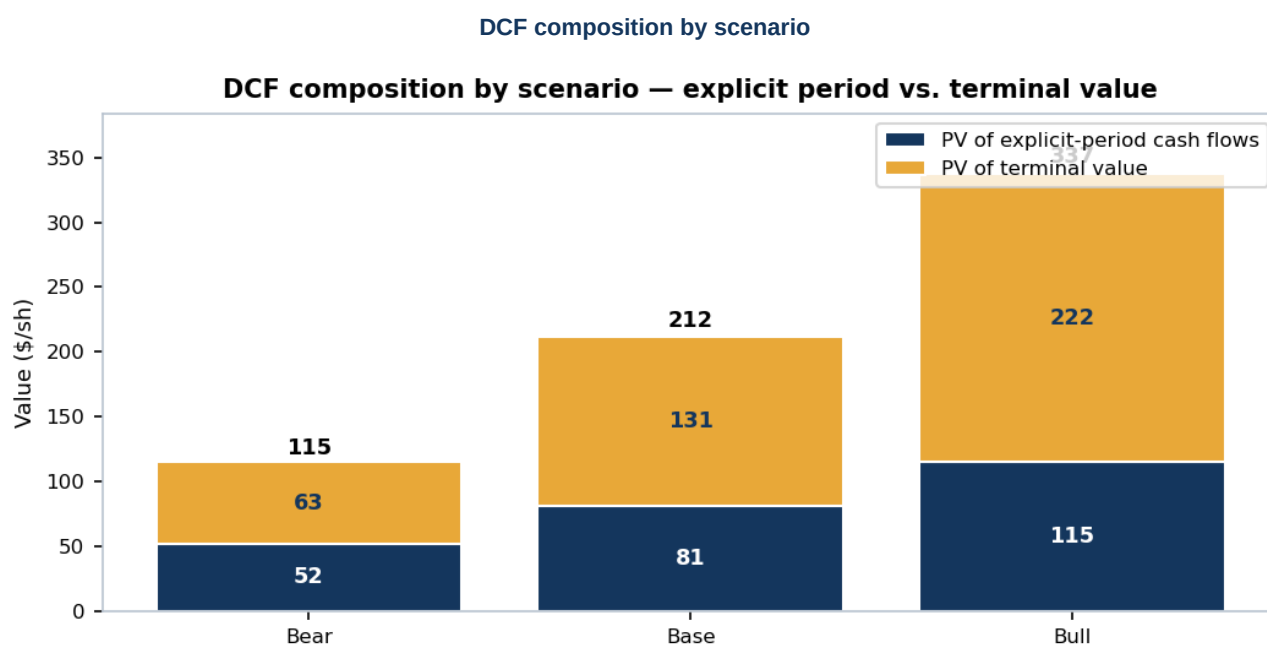
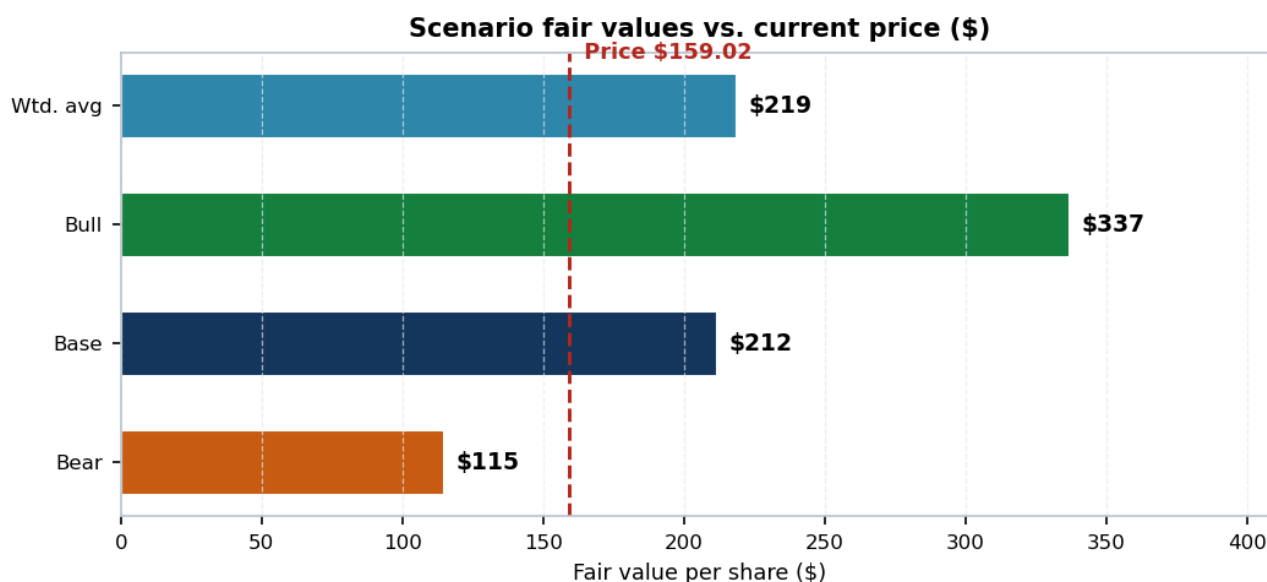
5 Valuation — 10-year scenario DCF, Fair Value \$219

We value Booking on a 10-year scenario DCF — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: bear 12.5% (disruption pricing), base 10.0% (dominant marketplace with platform-shift risk concentrated in the bear case rather than the discount), bull 8.5%. Terminal growth is 2.0% / 2.5% / 2.5% on year-10 cash flows at normalized mid-cycle margins.

Scenario fair values: bear \$115 (AI-native entrants take share, take rates compress, buybacks slow), base \$212 (high-single-digit bookings growth, stable take rates, operating leverage, buybacks at recent intensity), bull \$337 (faster connected-trip adoption, alternative-accommodation share gains). Probability-weighted: \$219.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	AI-driven disintermediation compresses take rates and room-night growth; connected trip stalls; buybacks slow	+5%	36%	12.5% / 2.0%	55%	\$115.00
Base	High-single-digit gross-bookings growth; stable take rates; continued operating leverage; buybacks at recent intensity	+9%	42%	10.0% / 2.5%	62%	\$212.00
Bull	Faster connected-trip adoption; share gains in alternative accommodations; AI interface absorbed into Booking's own platform	+13%	46%	8.5% / 2.5%	66%	\$337.00
Wtd. avg	Probability-weighted (25/50/25) → \$219.00 target					\$219.00

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **AI disintermediation.** AI-native travel agents could bypass aggregators over time, compressing take rates or volumes — the central bear case.
- **Travel cyclicality.** Recessions, pandemics, or geopolitical shocks hit bookings sharply and quickly.
- **Marketing costs.** Dependence on Google and Meta for acquisition means rising ad prices flow directly to margins.
- **Regulatory.** European digital-markets rules and tax disputes create ongoing overhang and potential cost.
- **Competition.** Expedia, Airbnb, and direct hotel channels compete for the same travelers and supply.
- **FX.** A large share of revenue is earned in euros and other currencies; dollar strength is a reported-revenue headwind.

What would change our mind

Downgrade to HOLD if room-night growth decelerates to low-single digits for a full year without a macro cause (structural share loss), if take rates decline persistently (pricing power eroding, possibly to AI-native competitors), or if a major AI travel agent captures measurable booking share from aggregators — which would validate the disruption thesis. Buybacks slowing materially while cash piles up would remove a key per-share compounding driver.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.